

trying to convince investors, employees, family members, and most of all ourselves that we had not squandered our time and resources. What evidence did we have?

Certainly our stories of failure were entertaining, and we had fascinating theories about what we had done wrong and what we needed to do to create a more successful product. However, the proof did not come until we put those theories into practice and built subsequent versions of the product that showed superior results with actual customers.

The next few months are where the true story of IMVU begins, not with our brilliant assumptions and strategies and whiteboard gamesmanship but with the hard work of discovering what customers really wanted and adjusting our product and strategy to meet those desires. We adopted the view that our job was to find a synthesis between our vision and what customers would accept; it wasn't to capitulate to what customers thought they wanted or to tell customers what they ought to want.

As we came to understand our customers better, we were able to improve our products. As we did that, the fundamental metrics of our business changed. In the early days, despite our efforts to improve the product, our metrics were stubbornly flat. We treated each day's customers as a new report card. We'd pay attention to the percentage of new customers who exhibited product behaviors such as downloading and buying our product. Each day, roughly the same number of customers would buy the product, and that number was pretty close to zero despite the many improvements.

However, once we pivoted away from the original strategy, things started to change. Aligned with a superior strategy, our product development efforts became magically more productive—not because we were working harder but because we were working smarter, aligned with our customers' real needs. Positive changes in metrics became the quantitative validation that our learning was real. This was critically important because we could show our stakeholders—employees, investors, and ourselves—that we were making genuine progress, not deluding ourselves. It is also the right way to think about productivity in a startup: not in terms of how